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DPO-804-E
February 2023

Luis Arrese (D): A Few Weeks Later

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In early June, differences of opinion emerged between Marc, CEO of the European unit, and Luis. Although they shared the same strategic vision, they disagreed, even publicly, about how to apply it and how quickly to implement the agreed action plans. In a private meeting, Marc felt obliged to remind Luis who was the boss and who was the deputy.

Eventually, July 2018, came around. The president was about to fly over from the United States to meet with the European management team. Among other things, he was due to announce Luis' promotion to CEO and managing director, effective on September 2018.

As planned, towards the end of the day, the president arrived at MPI's offices in Valencia. He had a meeting with Marc and asked Luis to come and see him the next day in the afternoon, as in the morning he had several appointments and a lunch that would not finish before four or four thirty.

The next day, July 2, Luis was in the office early. He could not hide his excitement. It was the day he had been looking forward to and working for all his life, the last four years in particular.

At around five in the afternoon, the president came to Luis' office.

He was around ten years older than Luis, very quick at grasping the gist of any message, and a very quick communicator. During the almost two years Luis had worked in close contact with the president in the United States, they had established an open and very direct relationship.

This case was prepared by Francisco Gay, former collaborator, and Dr. Alberto Ribera, under the supervision of Professor José Ramón Pin Arboledas. February 2023.
This case is based on the case "Fernando Ruiz (D): A Few Weeks Later", DPO-74-E, by the same authors.
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Last edited: 17/4/23

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After the obligatory exchange of greetings and inquiries about each other's families, the president came straight to the point:

> We need to do a 360 degree assessment of you–urgently. Until then, we can't promote you.
>
> The CEO of the European unit thinks that future profitability could be at risk under your leadership. Also, he does not believe the management in Spain is ready to accept you as their new managing director.
>
> Apparently, your style is causing misgivings and apprehension, and we might lose some key people if we promote you now, without giving you time to adjust your behavior.
>
> I'm sorry, but I can't gamble with the European unit's profits, and if I'm warned of a risk like this, I have to take it seriously. It's crucial for the corporation.

Luis was stunned, he did not understand what was going on. Here he was, 41 years old, with almost fifteen years' service in the company, four of them as a full-time expatriate and the best part of a year in England and United States, sitting with the corporate president on the day they were supposed to announce his promotion to CEO, and he was getting a very clear message: they had serious doubts about his competencies, they would assess the risks, and then they would promote him… or not.

All he could do was express his surprise and indignation at not having been given any feedback beforehand, especially by the CEO of the European unit. He asked the president for time to think things over; the next day he would give his response.

That day, for the first time in many years, Luis left the office before six. On his way home, he thought deeply about what to do.